

Emerging-Market Currencies Rally Ahead of Key US Inflation Data



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✦ Takeaways by Bloomberg AI

- Emerging-market currencies gained on Thursday, rebounding after two days of declines, as US data showed a resilient economy and ahead of a key inflation report.
- The US economy expanded in the second quarter at a 3.3% annualized pace, due to a pickup in business investment and an outside boost from trade.
- Traders are now waiting for data due Friday for insights into the central bank's preferred measure of inflation and wage growth at the start of the third quarter.

Emerging-market currencies gained on Thursday, rebounding after two days of declines, as US data showed a resilient economy and ahead of a key inflation report in the world's largest economy.

The Korean won, Malaysian ringgit and Chinese yuan led gains. Central and Eastern European currencies strengthened as the euro advanced, while the Colombian peso, which rallied for most of the session, gave back its gains to end the day little changed. The gauge for stocks fell for a third day.

The US economy expanded in the second quarter at a 3.3% annualized pace, due to a pickup in business investment and an outside boost from trade. Traders are now waiting for data due Friday for insights into the central bank's preferred measure of inflation and wage growth at the start of the third quarter.

“The personal consumer expenditures and the price index tomorrow, will provide short-term direction to monetary policy expectations and the USD,” BBVA strategists led by Alejandro Cuadrado wrote in a note Thursday.



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It's been a choppy week for risk assets as traders weigh optimism over US interest-rate cuts against a legal battle brewing between President Donald Trump and Fed Governor Lisa Cook over her dismissal. Cook sued Trump on Thursday after the President moved to oust her on claims she lied on mortgage applications. Long US bonds and the dollar have taken a hit as traders question the Fed's independence and the outlook for inflation.

After the US market closes on Thursday, traders will pay attention to Governor Christopher Waller's remarks for further clues on the rates outlook and the direction of the greenback.

In credit markets, Colombia's dollar bonds rallied, leading gains among peers after a group of the world's largest banks announced an offer to buy the notes as part of a highly anticipated swap transaction.

The next stage of the process is unclear, but it comes a few weeks after Colombia's Public Credit Director Javier Cuellar said the government is seeking to borrow as much as \$10 billion in Swiss francs to repurchase costlier liabilities and ease debt service.

The move is also supportive for the currency, BNP strategist Mario Castro wrote in a note, “as the government is likely to monetize at least part of the resources.”

Read more: [Colombian Bonds Surge as Banks Move to Buy Debt Amid Swap Deal](#)

Developing-world equities meantime, were weighed down by a drop in Taiwan Semiconductor Manufacturing Company, Ltd., after US chipmaker Nvidia Corp. gave a tepid revenue forecast for the current period. The report signaled that growth is decelerating after a two-year boom in artificial intelligence spending.

EM Stocks Retreat From Peak

Benchmark index has climbed every month this year to hit a 2021 high



Meituan sank 13%, the most since April, after the firm warned about losses this quarter following a price battle with Alibaba Group Holding Ltd. and JD.com Inc.

The slide in Chinese shares is putting a dent in emerging-market shares' positive performance this month. All the same, the gauge is still up 1.5% in August and has risen every month so far this year.

Investors are “assessing the two biggest issues of the day: where is the dollar headed and were Nvidia’s results big enough to keep the EM AI stocks like TSMC supported at high valuations,” said James Johnstone, co-head of emerging and frontier markets at Redwheel.



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